index funds. But if you have done your homework and are confident that you understand your business, turn off the market.

Buffett is not glued to a computer, watching every uptick or downtick on the screen, and he seems to get by just fine without it. If you plan on owning shares in an outstanding business for a number of years, what happens in the market on a day-to-day basis is inconsequential. You will be surprised to discover that your portfolio weathers nicely without you constantly looking at the market. If you don't believe it, give yourself a test. Try not to look at the market for 48 hours. Don't look at your computer or cell phone, don't check the newspaper, and don't listen to a stock market summary on television or radio. If after two days your companies are well, try turning off the stock market for three days, and then for a whole week. Pretty soon you will be convinced that your investment health will survive and your companies will continue to operate without your constant attention to stock quotes.

"After we buy a stock, we would not be disturbed if markets close for a year or two," says Buffett. "We don't need a daily quote on our 100 percent position in See's Candies to validate our well-being. Why then do we need a quote on our interest in Coke?"[9] Very clearly, Buffett is telling us that he does not need the market's price to validate Berkshire's common stock investments. The same holds true for individual investors. You know you have approached Buffett's level when your attention turns to the stock market and the only question on your mind is: "Has anybody done anything foolish lately that will allow me an opportunity to buy a good business at a great price?"

Just as people spend fruitless hours worrying about the stock market, so too do they needlessly worry about the economy. If you find yourself discussing and debating whether the economy is poised for growth or tilting toward a recession, whether interest rates are moving up or down, whether there is inflation or disinflation, *stop!* Give yourself a break. Buffett is a casual observer of the economy, but he dedicates no significant time or energy analyzing with the intent of predicting what the economy will do.

Often investors begin with an economic assumption and then go about selecting stocks that fit neatly within this grand design. Buffett considers this thinking foolish. First, no one has economic predictive powers any